Private and Public Provision of Counseling to Job Seekers:

Evidence from a Large Controlled Experiment

Group 11

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I. Introduction

Research Motivation

Research Question

Does private provision of job counseling perform as well as public provision? Evidence from large-scale RCT in France.

The Outsourcing Trend

- Since the late 1990's, governments have outsourced job placement to private firms.
- Strong support from the OECD and the EU, but little rigorous evidence on the effectiveness.

The Theoretical Trade-Off

- Private firms are typically considered to be more efficient and may innovate more.
- When effort is hard to observe, incentives to reduce quality may dominate.
- Cream skimming and parking are key risks however.

The Public Program (PES)

Key Features

- 6 month job counselling program with personal advisor.
- 40 job seekers per advisor (vs 120 in standard track).
- Weekly meetings (vs monthly in standard track).
- Cost: €657 per client (vs €120 for the standard track).
- PES recruited workers via internal call for tender.

- **Target Sample**
  - Job seekers entering unemployment.
  - At risk of long term unemployment.
  - No peripheral problems (addiction, psychological issues).

The Private Program

Key Features

- 6 month job program; 40:1 caseload; weekly meetings.
- Three types providers: temporary employment agencies, consultancies, international placement firms.
- Same target sample as public program.

Payment Structure

- 30% paid upfront.
- 35% if job found within 6 months.
- 35% if still employed after 6 months.
- Cost range: €900–€4000 per jobseeker.

II. Experimental Design and Data

Experimental Design

The study utilizes a large-scale randomized controlled trial (RCT) conducted in France starting in 2007.

- **Target Population**: Job seekers at risk of long-term unemployment entitled to at least one year of benefits.
- **Three-Pronged Approach**:
  - **Control Group**: Standard track with monthly meetings and 120:1 caseload.
  - **Public Intensive**: Weekly meetings with a 40:1 caseload managed by the PES.
  - **Private Intensive**: Same 40:1 intensity but managed by private contractors (Temporary agencies, consultancies, etc.).
- **Scale**: 43,977 job seekers across 216 local offices in 4 regions.

Assignment Probabilities&Local Constraints

Assignment was not a uniform 1/3 split; probabilities were adjusted locally to meet enrollment targets.

Probability Variances:

- **Private**: Up to 85% (36,027 assigned)
- **Standard**: $\approx$ 9% (4,565 assigned)
- **Public**: $\approx$ 6% (3,385 assigned)

The Methodology:

- Randomization occurred during the first PES interview.
- Local areas had specific enrollment quotas for each program.

Statistical Solution: Weighting

To correct for the unbalanced assignment and survey sampling rates, we used **weighted OLS regressions**. This ensures the results are representative of the initial population despite the sample size differences.

Three Primary Employment Outcomes

We define three distinct variables to measure transitions from unemployment at various horizons (3, 6, and 12 months):

1. **Exit from PES Registers to Employment**
   Combines administrative data with survey results to identify job seekers who officially left the registry because they found a job.
2. **Any Employment**
   A broader definition that includes the registry exits above, plus job seekers who held a job for at least 110 hours per month while remaining registered as unemployed.
3. **Employment Eligible for Payment**
   The most restrictive category, limited to jobs lasting at least six months. This aligns with the specific performance criteria used to pay private contractors.

Note on Data

Analysis primarily focused on the 6-month horizon, as this marked the end of the intensive counseling service.

Addressing Survey Attrition

- **Source of Bias**: Many administrative records end in an "Unknown Exit," making it unclear if the person found a job or just stopped reporting.
- **Methodological Fix**: A monthly phone survey was conducted for those with unknown exits to track actual employment status.
- **Result**: Final attrition was limited to **9%** and was balanced across all three groups, ensuring estimates remained unbiased.

Balancing Tests

To ensure the validity of the experiment, we performed balancing tests across a wide range of observable characteristics.

- **Sociodemographic Factors:** Tested education levels (College to Dropout), gender, age categories, and nationality.
- **Professional History:** Compared reasons for unemployment (e.g., personal vs. economic layoff) and years of experience.
- **Job Search Characteristics:** Analyzed wage targets and the statistical risk of long-term unemployment.

Statistical Results

- **Mean Equality:** Mean values across the three groups (Standard, Private, Public) were found to be very close.
- **Joint Nullity Tests:** P-values for the joint tests were 45% (Private) and 54% (Public), confirming that characteristics did not predict group assignment.
- **Conclusion:** The groups were well-balanced, supporting a causal interpretation of the results.

Table

Table 2—Balancing Tests

Variable names	Standard (1)	Private (2)	Public (3)
Panel A.			
College education	30.9	31.9	31.8
Bac	20.5	19.5	18.9
Vocational	29.6	29.8	30.6
High school dropout	19.0	18.8	18.7
Manager	13.8	13.1	13.1
Technician	9.9	10.4	10.3
Skilled clerical worker	48.0	48.1	48.6
Unskilled clerical worker	13.5	14.4	13.7
Skilled blue collar	9.9	9.2	9.4
Unskilled blue collar	5.0	4.8	4.9
Age below 26	15.3	16.1	16.4
Aged 26 to 35	35.1	34.6	33.5
Aged 36 to 45	25.3	25.8	26.3
Aged 46 to 55	19.5	19.1	19.2
Aged above 56	4.9	4.4	4.6
Women	51.4	49.9	49.5
Married	45.7	46.2	46.2
No child	55.6	54.3	55.8
One child	18.2	18.5	18.6
More than one child	26.3	27.2	25.6
French	81.4	81.3	82.8
African	11.5	11.7	11.0
Other nationality	7.1	7.0	6.2
Paris region	80.1	80.9	78.7
North	10.2	9.9	11.1
Other regions	9.6	9.2	10.2
Employment component level 1	22.9	23.0	22.1
Employment component level 2	56.1	55.5	57.1
Employment component missing	21.1	21.5	20.8
Economic layoff	12.9	12.3	12.7
Personal layoff	40.4	40.8	42.1
End of fixed term contract	23.3	23.9	23.9
End of temporary work	5.7	5.1	5.1
Other reasons of unemployment	17.8	17.8	16.1
No experience in the job	14.3	15.0	14.3
One to five years of experience in the job	44.4	44.4	44.1
More than five years of experience in the job	41.3	40.7	41.6

Table 2—Balancing Tests (*Continued*)

Variable names	Standard (1)	Private (2)	Public (3)	(2) = (1) (4)	(3) = (1) (5)	(3) = (2) = (1) (6)
Panel B.						
Observations and joint test						
Whole sample	4,565	36,027	3,385	0.45	0.54	0.12
Temporary help region	1,838	12,632	1,360	0.94	0.46	0.29
Insertion firm region	1,190	10,051	932	0.49	0.96	0.97
Counseling firm region	1,537	13,344	1,093	0.07*	0.97	0.29

Notes: Panel A: columns 1, 2, and 3 report the mean value of variables over the sample of job seekers assigned, respectively, to standard counseling, private counseling, and public counseling. Columns 4 and 5 present significance levels for balancing tests comparing assigned to private or public counseling and assigned to the standard counseling scheme. Column 6 presents the result of the joint balancing test over the three assigned populations. Panel B: columns 4 and 5 present p-values for the joint nullity tests of all coefficients, when regressing assignment to the private program (column 4) or to the public program (column 5) on all covariates listed in the upper panel. Column 6 presents p-values for the joint nullity test of all coefficients in both regressions. This is performed for the whole sample, or on subsamples of job seekers registered in regions where the private contractor is of each of the listed types.

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

Sources: Job seekers register (ANPE), private contractor register

III. Main Empirical Strategy and Findings

III.A, Intention-to-Treat

$$y = \beta_{Pub} Z_{Pub} + \beta_{Priv} Z_{Priv} + Xb + u \tag{1}$$

- β_{Pub} tells us the effect of being **assigned** to the public program.
- β_{Priv} tells us the effect of being **assigned** to the private program. ($\beta_{Pub} = E[y|Z_{Pub} = 1] - [y|Standard\ track]$)
- X is the set of control variables from Table 2.
- b or b_i is each control variables own estimated coefficient.

$$b = \begin{pmatrix} b_1 \\ b_2 \\ b_3 \end{pmatrix}, \quad Xb = b_1(Woman) + b_2(Aged\ 46 - 55) + b_3(College)$$

Effect of ITT

TABLE 3—INTENTION-TO-TREAT EFFECTS ON EMPLOYMENT OUTCOMES, AFTER SIX MONTHS

	Exit from PES registers to employment		Any employment		Employment eligible to payment	
	(1)	(2)	(3)	(4)	(5)	(6)
Assigned public	3.2***	2.8**	2.3*	2.0	2.2**	2.4**
	(1.2)	(1.2)	(1.3)	(1.2)	(1.1)	(1.1)
Assigned private	1.8**	1.5*	1.9**	1.6*	2.0**	1.8**
	(0.9)	(0.8)	(0.9)	(0.9)	(0.8)	(0.8)
Controls	No	Yes	No	Yes	No	Yes
p-value (percent)	15.9	27.0	72.1	91.8	81.2	64.8
Control mean	23.0	23.0	35.8	35.8	21.4	21.4

Notes: Each column reports the results of weighted OLS regressions of an employment outcome variable, within six months of random assignment, on assignment variables. The first outcome ("Exit from PES registers to employment") combines exit from the registers with information on employment status based on the job seeker follow-up. The second outcome ("Any employment") extends the former definition to account for jobs held while unemployed as long as they lasted at least 110 hours. The last outcome restricts the former category to exits to employment or jobs held while unemployed that lasted at least six months. For each outcome variable we consider weighted OLS regression with or without the covariates listed in Table 2. Weights are based on the assignment scheme and the sampling scheme of job seekers with unknown exit. *p*-value corresponds to the test of a same effect of assignment to private and public programs (percent). Robust standard errors in parentheses; 37,952 observations.

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

Sources: Job seekers register (ANPE), private contractor register, and surveys of job seekers with unknown exit

III.B, The First Stage

$$T_{\text{Pub}} = \theta_{\text{Pub}} Z_{\text{Pub}} + \theta_{\text{Priv}} Z_{\text{Priv}} + \theta_{\text{Standard}}(1 - Z_{\text{Pub}} - Z_{\text{Priv}}) + Xb + u \quad (2)$$

$$T_{\text{Priv}} = \lambda_{\text{Pub}} Z_{\text{Pub}} + \lambda_{\text{Priv}} Z_{\text{Priv}} + \lambda_{\text{Standard}}(1 - Z_{\text{Pub}} - Z_{\text{Priv}}) + Xb + u \quad (3)$$

- T_{Pub} and T_{Priv} are indicator variables for actual entry into the public and private programs.
- We now have $(1 - Z_{Priv} - Z_{Pub})$ as well in order to assign to standard track.
- The θ's here are specifically the probabilities of entry into the **public** program if assigned to public, private or standard.
- While the λ's are for entry into the **private** program if assigned to public, private or standard.

Instrument Relevance

TABLE 4—FIRST STAGE REGRESSION

	Public		Private	
Enter	(1)	(2)	(3)	(4)
Assigned public	32.1***	32.0***	2.1***	1.5***
	(0.9)	(0.9)	(0.3)	(0.3)
Assigned private	0.5***	0.5***	42.8***	42.9***
	(0.1)	(0.1)	(0.4)	(0.3)
Assigned standard track	0.4***	0.4***	2.9***	2.8***
	(0.1)	(0.1)	(0.3)	(0.3)
Controls	No	Yes	No	Yes

Notes: Weighted OLS regression of entry into public and private programs within six months of random assignment (first stage regressions of Table 5). Column 1 displays first-stage estimates for the public program without controls and intercept, column 2 adds the (centered) covariates listed in Table 2. Weights are consistent with outcome variables, see Table 3. Columns 3 and 4 present the same results for entry into the private scheme. Outcome variables defined in Table 3. Robust standard errors in parentheses; 37,952 observations.

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

Sources: Job seekers register (ANPE), private contractor register, and surveys of job seekers with unknown exit

III.C, Recovering LATE

Public Track (T_{Pub})

- Z_{Pub} instruments T_{Pub}
- Assignment to public program raises entry into the public program to about **32 percent**

Private Track (T_{Priv})

- Z_{Priv} instruments T_{Priv}
- Assignment to the private program raises entry into the private program to about **43 percent**

- The instruments are relevant: assignment strongly predicts actual treatment take-up.

$$y = \alpha_{Pub}\hat{T}_{Pub} + \alpha_{Priv}\hat{T}_{Priv} + Xb + u \tag{4}$$

- α_{Priv} and α_{Pub} are the treatment effects of actually **entering** the respective programs.

LATE

Table 5—Local Average Treatment Effects, after Six Months

	Exit from PES registers to employment		Any employment		Employment eligible to payment	
	(1)	(2)	(3)	(4)	(5)	(6)
Enter public	10.2***	9.1**	7.3*	6.5*	7.2**	7.7**
	(3.8)	(3.7)	(4.1)	(3.9)	(3.6)	(3.5)
Enter private	4.5**	3.8*	4.8**	4.0*	5.0**	4.4**
	(2.1)	(2.1)	(2.3)	(2.2)	(2.1)	(2.0)
Controls	No	Yes	No	Yes	No	Yes
p-value (percent)	6.3	7.8	43.1	42.0	45.9	23.0
Control mean	23.0	23.0	35.8	35.8	21.4	21.4
Counterfactual means						
Public	20.7	21.9	38.2	39.0	21.4	20.9
Private	19.7	20.4	34.3	35.0	18.4	19.1

Notes: Weighted two-stage least square regressions of employment outcome variables on treatment variables, using assignment variables as instruments. First stage regressions are displayed in Table 4. Regressions include the covariates listed in Table 2. Outcome variables defined in Table 3. *p*-value corresponds to the test of a same impact of participation in the private and public programs. Robust standard errors in parentheses; 37,952 observations.

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

Sources: Job seekers register (ANPE), private contractor register, and surveys of job seekers with unknown exit

Graphs

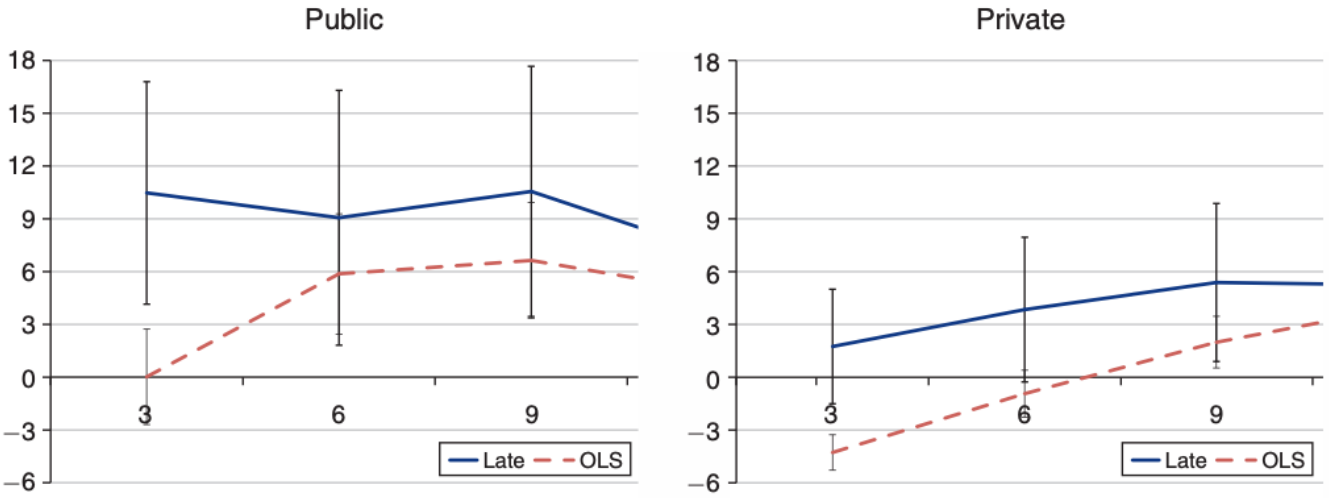

FIGURE 1. LATE AND OLS ESTIMATES FOR PUBLIC AND PRIVATE PROGRAMS

Notes: Estimates of public and private program impacts 3, 6, 9, and 12 months after assignment, with 95 percent confidence intervals. "Exit from PES registers to employment" is the outcome. The LATE and OLS estimates use the control variables listed in Table 2. The LATE estimates use program assignment as an instrument for program entry (see Table 5).

Sources: Job seekers register (ANPE) and private contractor register

Summary of Results

- ITT effects were present but not strong enough to reject Null.
- First Stage - IV: assignment strongly predicts actual treatment take-up. Instrument is relevant.
- Second Stage - IV: public LATE estimates are larger across all outcomes, but statistical evidence that public strictly outperforms private is strongest for the PES-exit outcome and weaker for the others.

IV. Why Are Private Providers Lagging Behind?

Why are private providers lagging behind?

Three main possible explanations:

1. Contract structure.
2. Job seeker behavior.
3. Less efficient mastering of counseling technology.

These may operate through two channels:

- **Selection effect:** Differences in the populations.
- **Treatment effect:** Differences in the effectiveness of the counseling itself.

Selection Effect

Hypothesis: There are pre-treatment differences between the private and public counseling populations.

$$
\begin{aligned}
&E(\Delta_{priv}|Priv) - E(\Delta_{pub}|Pub) \\
&= [E(\Delta_{priv}|Priv) - E(\Delta_{priv}|Pub)] \\
&+[E(\Delta_{priv}|Pub) - E(\Delta_{pub}|Pub)]
\end{aligned}
$$

Decomposition of Treatment Effects

TABLE 7—DECOMPOSITION OF PRIVATE AND PUBLIC LOCAL AVERAGE TREATMENT EFFECTS, AFTER SIX MONTHS

	Exit from PES registers to employment	Any employment	Employment eligible to payment
Private program			
on private entrants (a)	3.9*	4.1*	4.4**
	(2.1)	(2.2)	(2.0)
on public entrants (b)	3.0*	3.0*	3.6**
	(1.7)	(1.8)	(1.6)
Public program			
on public entrants (c)	9.1**	6.7*	7.8**
	(3.7)	(3.9)	(3.5)
Private/public difference (a) − (c)	−5.3*	−2.6	−3.4
	(3.0)	(3.1)	(2.8)
Selection effect (a) − (b)	0.9	1.1	0.8
	(0.7)	(0.8)	(0.7)
Private/public difference on public entrants (b) − (c)	−6.2**	−3.6	−4.2
	(3.1)	(3.2)	(2.9)

Contract Incentives

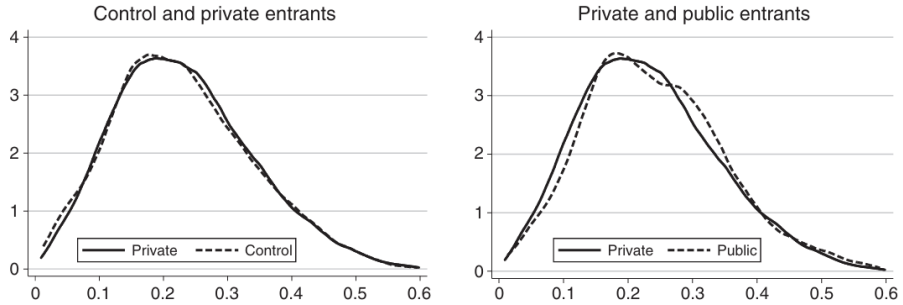

FIGURE 2. DENSITIES OF THE EMPLOYABILITY INDEX

Notes: The employability index is based on a weighted logit model of exit to unemployment on observed variables in the control group, see Table A1 for the regression.

Sources: Job seekers register (ANPE), private contractor register, and surveys of job seekers with unknown exit

- The index is based on a weighted logit model of exit to unemployment.
- Used to check for similarities in the distribution of job seeker profiles.

Heterogeneous Effects

$$y = (\alpha_{0,pub} + \alpha_{1,pub}E + \alpha_{2,pub}E^2)T_{pub}$$

$$+ (\alpha_{0,priv} + \alpha_{1,priv}E + \alpha_{2,priv}E_i^2)T_{priv} + Xb + a_1E + a_2E^2 + u,$$

TABLE 8—HETEROGENEOUS EFFECTS WITH RESPECT TO EMPLOYABILITY, AFTER SIX MONTHS

	Exit from PES registers to employment		Any employment		Employment eligible to payment	
	Private	Public	Private	Public	Private	Public
Enter program	3.7*	9.2**	3.9*	6.5*	4.3**	7.8**
	(2.1)	(3.7)	(2.2)	(3.9)	(2.0)	(3.5)
$E \times$ Enter program	−4.9**	−2.7	−4.6**	−0.2	−3.6*	0.4
	(2.1)	(3.9)	(2.3)	(4.2)	(2.0)	(3.6)
$E^2 \times$ Enter program	−1.0	3.4	−3.0	−0.2	−0.1	3.7
	(2.2)	(3.3)	(2.3)	(3.4)	(2.2)	(3.2)
p-values (percent):						
Homogeneity: each	5.3	54.8	2.2	99.7	20.2	45.3
Homogeneity: joint	4.9		1.9		7.0	
Same effect	11.1		8.3		5.7	

Notes: The table presents weighted two-stage least square regressions where program participation variables have been interacted with powers of an "employability score (E)." The employability score is obtained as the predicted value of a logit regression of exit from PES registers to employment using the whole set of covariates listed in

Job Seeker Motivation

Table 10—Local Average Treatment Effects, after Six Months on Other Types of Exit

	Any exit from PES registers	Exit from PES registers to employment	Other exit from PES register	From which	
				Struck off	Other
Panel A. After 6 months (37,952 observations)					
Enter public	4.9	9.1**	−4.2	0.7	−4.9*
	(4.1)	(3.7)	(3.2)	(1.8)	(2.8)
Enter private	−4.2*	3.8*	−8.0***	−2.9***	−5.1***
	(2.4)	(2.1)	(1.9)	(1.0)	(1.7)
p-value (percent)	0.5	7.8	12.9	1.2	92.2
Control mean	37.3	23.0	14.2	2.7	11.6
Panel B. After 12 months (33,500 observations)					
Enter public	3.2	6.9*	−3.7	0.8	−4.5
	(3.6)	(3.7)	(3.3)	(1.9)	(3.0)
Enter private	−0.9	5.2**	−6.1***	−2.7**	−3.4*
	(2.3)	(2.4)	(2.2)	(1.2)	(2.0)
p-value (percent)	13.6	56.7	35.5	1.8	64.6
Control mean	58.3	36.6	21.7	3.9	17.8

Notes: Weighted two-stage least square regressions on different types of exits from PES files after 6 and 12 months. Regressions include the covariates listed in Table 2. *p*-value corresponds to the test of a same effect of participation in private and public programs. Robust standard errors in parentheses.

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

Source: Job seekers register (ANPE), private contractor register, and surveys of job-seekers with unknown exit

Table 9—Local Average Treatment Effects, after Six Months, by Operator Type

	Exit from PES registers to employment			Employment eligible to payment		
Area	Private	Public	Difference	Private	Public	Difference
Temporary help	2.1	12.1**	−10.0**	0.8	6.8	−6.0
	(3.5)	(5.8)	(4.6)	(3.4)	(5.5)	(4.3)
Placement firms	3.9	9.9	−5.9	8.1**	13.7**	−5.6
	(3.7)	(6.8)	(5.4)	(3.5)	(6.4)	(5.1)
Consultancies	5.7	3.6	2.1	4.8	2.6	2.2
	(3.8)	(6.7)	(5.5)	(3.5)	(6.4)	(5.2)
p-value (percent)	28.0	8.0	11.0	6.2	10.2	34.5

Notes: The upper panel presents weighted two-stage least square regressions of employment outcomes on participation into program interacted with dummy variables for area in which the private contractor is of one of the three possible types: temporary help agency, international placement firms, and consultancies specialized in the placement of workers after mass layoffs. Instruments are assignment variables interacted with the dummy variables. *p*-values correspond to the test that the three coefficients are equal. For each of the two outcomes, the first column presents the private program's estimated effects, the second the public program's effects, and the last one the difference between the two. Regressions include covariates listed in Table 2. Outcomes are defined in Table 3. Robust standard errors in parentheses; 37,952 observations.

***Significant at the 1 percent level.

**Significant at the 5 percent level.

*Significant at the 10 percent level.

V. Cost-Benefit Analysis

Cost-Benefit Analysis: Private vs. Public

- Cost-Benefit Analysis was conducted as an estimate (for public and private provision) without including the benefits from taxes collected on wages
- Access to unemployment benefits and wage earnings data was restricted.
- **Formula used:**

$$\text{Target Wage} \times \text{Common Replacement Rates} \tag{5}$$

- Job seekers must have 365 days of payment eligibility. at the time of randomization (Private Provision)

Cost-Benefit Analysis: Private vs. Public

TABLE 11—COSTS AND BENEFITS

	Cost	Days on lists: All	Days on lists: Without job	Paid UB	Total expenses
Panel A. Intention-to-treat					
Assigned public	171***	−6.4**	−6.5**	−574**	−402
	(8)	(2.8)	(2.8)	(287)	(287)
Assigned private	524***	0.7	−0.5	−51	473**
	(7)	(1.9)	(1.9)	(198)	(198)
p-value (percent)	0.0	0.1	0.6	2.1	0.0
Panel B. Local average treatment effect					
Enter public	539***	−18.7**	−19.9**	−1,679**	−1,140
	(10)	(8.3)	(8.7)	(850)	(849)
Enter private	1,321***	1.3	−3.6	−159	1,162**
	(10)	(4.9)	(5.5)	(507)	(506)
p-value (percent)	0.0	0.2	1.5	1.9	0.0
Control mean	120	257	223	22,003	22,123

Notes: Weighted intention-to-treat and two-stage least squares. "Cost" is the program cost accounting for employment outcomes; "days on lists" is the number of days the job seekers were registered on the PES registers; "days on lists without partial employment" accounts for jobs held while still registered; "paid UB" (unemployment benefits) is based on the "days on lists without partial employment" variable and uses as a measure of unemployment benefits 80 percent of the wage target; "total expenses" is the sum of program costs and paid UB. Regressions include the covariates listed in Table 2. Robust standard errors in parentheses; 43,977 observations.

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

Sources: Job seekers register (ANPE), private contractor register, and surveys of job seekers with unknown exit

Cost-Benefit Analysis: Private vs. Public

- The private provision performs lowly in both Intention-To-Treat and LATE estimates.
- Critical Finding - The private program had almost zero effects on reducing the days spent on unemployment lists.
- For each €1000 invested, private program saved one day of unemployment, public saved 38 days.

VI. Conclusion

Conclusion

- The public program proves itself to be the "better" option for eligible job seekers.
- It is overall more cost effective, and more efficient at placing job seekers into roles.
- Based on the CBA, the private program is overall ineffective. It leads to a net cost per job seeker.
- The difference in performance is not due to any selection bias, it simply reflects the private program's inefficiency.

Conclusion: Australian Model Solutions

1. Implemented strong monitoring procedures to identify low performing providers.
2. Prevented providers from parking their assigned job seekers.
3. Australia is now performing higher than most countries due to the filtering out of inefficiencies.

Conclusion

- Overall, the public provision offers a far more credible and cost effective counselling path.
- There is no research showing the private program ensures a better service!

Appendix

Table A1—Employability and Propensity to Enter Private and Public Schemes

	Employability (1)		Enter private (2)		Enter public (3)	
	Coefficient	SE	Coefficient	SE	Coefficient	SE
College education	0.046**	(0.023)	0.003	(0.011)	0.016	(0.028)
Vocational	0.014	(0.022)	0.003	(0.011)	−0.019	(0.027)
High school dropout	−0.049*	(0.026)	−0.009	(0.013)	−0.028	(0.032)
Manager	−0.042	(0.042)	0.011	(0.023)	−0.018	(0.060)
Technician	−0.041	(0.040)	0.043**	(0.022)	0.033	(0.060)
Skilled clerical worker	−0.056	(0.039)	0.016	(0.019)	−0.021	(0.050)
Unskilled clerical worker	−0.038	(0.038)	−0.006	(0.020)	0.004	(0.053)
Skilled blue collar	−0.033	(0.039)	0.002	(0.022)	−0.036	(0.053)
Aged 26 to 35	−0.035	(0.022)	0.003	(0.013)	0.037	(0.031)
Aged 36 to 45	−0.037	(0.027)	0.039***	(0.015)	0.055	(0.038)
Aged 46 to 55	−0.095***	(0.026)	0.052***	(0.016)	0.066	(0.042)
Aged above 56	−0.186***	(0.018)	−0.094***	(0.019)	−0.078	(0.054)
Women	−0.036**	(0.016)	0.019**	(0.008)	0.000	(0.020)
Married	0.000	(0.018)	0.004	(0.009)	0.002	(0.023)
One child	−0.018	(0.022)	0.021**	(0.011)	−0.011	(0.027)
More than one child	0.022	(0.023)	0.012	(0.010)	0.000	(0.028)
French	−0.030	(0.034)	0.035**	(0.015)	0.069*	(0.040)
African	−0.052	(0.032)	0.018	(0.019)	0.080	(0.056)
Paris region	−0.014	(0.029)	0.030**	(0.014)	−0.039	(0.036)
North	0.001	(0.035)	0.190***	(0.017)	0.103**	(0.046)
Employment component level 1	0.123**	(0.050)	0.060**	(0.024)	0.163***	(0.063)
Employment component level 2	0.095**	(0.038)	0.075***	(0.023)	0.128**	(0.052)
Economic layoff	−0.020	(0.028)	0.052***	(0.014)	−0.031	(0.035)
Personal layoff	−0.035	(0.022)	0.059***	(0.011)	0.006	(0.029)
End of fixed term contract	0.057**	(0.026)	0.046***	(0.013)	−0.055*	(0.030)
End of temporary work	0.009	(0.037)	−0.035*	(0.021)	−0.134***	(0.039)
No experience in the job	−0.065***	(0.023)	−0.062***	(0.012)	−0.071**	(0.029)
One to five years of experience in the job	−0.050***	(0.019)	−0.016*	(0.009)	−0.010	(0.024)
Statistical risk level 2	−0.056	(0.035)	0.050**	(0.021)	−0.109**	(0.048)
Statistical risk level 3	−0.119***	(0.036)	0.080***	(0.023)	−0.132***	(0.050)
Search for a full time position	0.045	(0.029)	0.152***	(0.012)	0.041	(0.034)
Sensitive suburban area	−0.065***	(0.021)	0.006	(0.011)	−0.040	(0.027)
Wage target €1,350–€1,549	0.020	(0.025)	0.031***	(0.012)	0.079***	(0.031)
Wage target €1,550–€1,799	0.018	(0.031)	0.026*	(0.015)	0.053	(0.040)
Wage target €1,800–€2,200	0.039	(0.028)	0.005	(0.012)	0.025	(0.031)
Wage target €2,200	0.030	(0.032)	0.014	(0.015)	−0.039	(0.037)
No wage target	0.075**	(0.034)	−0.062***	(0.014)	−0.125***	(0.033)
First unemployment spell	−0.001	(0.015)	0.045***	(0.008)	0.014	(0.019)
Insertion firm region	0.044**	(0.021)	0.072***	(0.009)	0.053**	(0.025)
Temporary help region	0.036*	(0.020)	0.051***	(0.009)	0.048*	(0.024)
Assigned first quarter	0.029	(0.026)	−0.099***	(0.012)	−0.050**	(0.026)
Assigned second quarter	0.065***	(0.024)	−0.108***	(0.009)	−0.052**	(0.024)
Assigned third quarter	0.053**	(0.025)	−0.065***	(0.010)	−0.042*	(0.025)
Observations	4,155		30,728		3,069	

Notes: Column 1 reports marginal effect of a weighted logit model of exit from PES registers to employment at six months using the sample of job seekers assigned to the standard track. Weights are based on the assignment scheme and the sampling scheme of job seekers with unknown exit. Columns 2 and 3 report marginal effects of weighted logit models estimated on job seekers assigned to the public and private programs, respectively. Weights are based on the assignment scheme. Robust standard errors in parentheses.

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

Sources: Job seekers register (ANPE), private contractor register, and surveys on job seekers with unknown exit